LESSON 8 CONTROLLING

What is controlling?

- setting the **directional guide** towards the overall **accomplishment** of planned objectives.
- management process of **measuring** and **correcting** the activities of the organization.

Characteristics of Control

1. **It must be accurate and attuned to the activity**: control should reflect the needs of people using them.
2. **It must identify quickly deviation from the set of standards**: Immediate actions must be done when performance standards are not followed.
3. **It must be strategically orientated**: Control should align with and support the overall goals and direction of the organization.
4. **It must be flexible and comprehensible**: must be flexible to permit some changes for unexpected situations.
5. **It must be economical in its implementation**: The cost of implementing control should be justified by the benefits it provides.
6. **It must be easily understood by people to whom it is intended**: The control system should be clear and straightforward for those who use it.
7. **It must indicate corrective actions**: It must not only detect issues but also suggest how to fix them
8. **It must be organizationally realistic**: must be attainable by the people who are supposed to do the task.
9. **It must be prescriptive and operational**: when standards are not met, an control system will indicate what course of action is necessary.

The Controlling Process

1. **Setting performance standards and accountability**: Establish clear expectations for what should be achieved, along with who is responsible.
    a. **Quantity** - The amount of work or output expected.
    b. **Quality** - The level of excellence or accuracy required
    c. **Time** - The deadline or time frame for completing tasks.
    d. **Cost** - The budget or financial limits for operations
2. **Performance Indicators**: Specific metrics used to measure the degree of accomplishment.
3. **Interpreting Results**: Analyzing data to determine if performance aligns with expectations or if there are deviations.
4. **Responsibility for corrective action**: Assigning accountability to take action and make improvements when standards are not met.

Objectives of Controlling

- Prevent the development of problem and crises
- Develops standard of product output
- Develop an effective employee appraisal system.
- Develop an updated plan
- Develop corporate measures to protect its assets

Types of Management Control

1. Control that standardize employee performance
    a. Time and Motion Study
    b. Inspection of Work in Progress
2. Control that safeguards company assets
    a. Inventory Record

b. Proper Maintenance and Inspection
3. Control that standardizes product quality
    a. Product Blueprints
    b. Inspection Reports
4. Control that limits delegated authority
    a. Policy Manuals
    b. Work systems and procedures
5. Control that measures job performance
    a. Quarterly Performance Appraisal Report
    b. Employee Output Data
6. Control for planning and programming operations
    a. Sales and Production Forecast
    b. Budgets and Cost Estimates
7. Control that keeps balance programs
    a. Prepare Master Budget
    b. Organization Policy Manuals
8. Control designed to motivate employees
    a. Promotion
    b. Service Awards and Benefits

KEY AREAS IN CONTROLLING

- **Profitability**: Monitoring financial gains to ensure the organization is making enough profit.
- **Market Position**: Tracking the company's standing compared to competitors in the industry.
- **Productivity**: Measuring output in relation to input to ensure efficient use of resources.
- **Personnel Development**: Evaluating training, growth, and improvement of employee skills and capabilities.
- **Employee Attitudes and Values**: Assessing morale, motivation, and alignment with organizational culture.
- **Public and Social Responsibility**: Image of the company is not only concerned with its customer but also to outside stakeholders

PROBLEMS WITH CONTROL SYSTEM

1. **Rigid Bureaucratic Behavior**: Employees may focus only on meeting control requirements, not on overall goals or innovation.
2. **Strategic Behavior**: People might manipulate data or actions to look good under the control system, rather than genuinely improve.
3. **Invalid Data Feedback**: Controls may rely on incorrect or misleading data, leading to poor decisions.
4. **Resistance of Employees**: Employees may push back against controls for several reasons
    a. Can automate expertise
    b. Can often measure performance accurately and completely
    c. Can change the social structure of the organization
    d. Create new experts and develop power blocks
    e. Can reduce opportunities for intrinsic need satisfaction

LESSON 9 WORKPLACE COMMUNICATION

WHAT IS COMMUNICATION?

- **two-way process** wherein the message in the form of ideas, thoughts, feelings, opinions is **transmitted between two or more persons** with the intent of creating a shared understanding.
- According to John Adair, communication is essentially the **ability of one person** to make contact with another and **make himself or herself understood.**

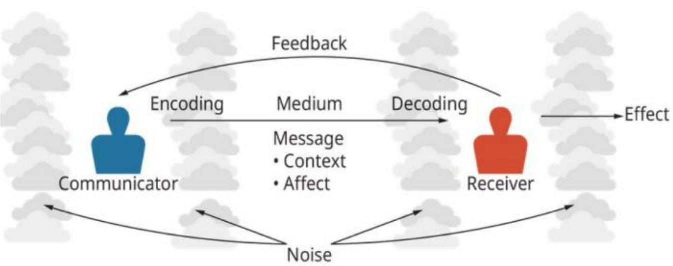
FEATURES OF EFFECTIVE COMMUNICATION

- Communication is the heart of every business activity.
- It is the process of living harmony with others.
- It is the thread that ties the action of an individual to its desired objectives.
- It is the way of sharing our feelings, thoughts, ideas, wants and needs.
- Directing human efforts are carried out by managers through the communication process.
- No effective directions would prosper without effective communication

TWO IMPORTANT ASPECTS OF COMMUNICATION

a. **ENCODING**: transforming an abstract idea into a communicable message.
b. **DECODING**: the receiver interpreting the message and coming to an understanding about what the source is communicating.

COMMUNICATION PROCESS



SENDER RESPONSIBILITES

1. Determines and analyses the purpose of communication.
2. Knows the sensitiveness of the receiver to the message.
3. Makes the message simple and understandable on the point of the receiver.
4. Selects the most appropriate medium.
5. Knows correct timing and the need for the information.

RECEIVER RESPONSIBILITES:

1. Gets the message clearly.
2. Decodes the information and gets its meaning.
3. Accepts the message according to its intent.
4. Acts accordingly as to what the message is all about.
5. Provides feedbacks to the sender.

TYPES OF COMMUNICATON

	Internal	External
Formal	Planned communication among insiders (such as memos, reports, e-mail, instant messages, executive blogs, conference calls, and presentations) that follows the company's chain of command	Planned communication with outsiders (such as letters, reports, speeches, websites, instant messages, and news releases, advertising, and executive blogs)
Informal	Casual communication among employees (such as e-mail, instant messages, face-to-face conversations, phone calls, team blogs, and wikis) that do not follow the company's chain of command	Casual communication with suppliers, customers, investors, and other outsiders (such as face-to-face conversations, e-mail, instant messages, phone calls, and customer-support blogs)

TYPES OF FORMAL COMMUNICATION

1. **DOWNWARD COMMUNICATION** - flows from executives to employees, conveying executive decisions and providing information that helps employees do their jobs.
    a. Specific tasks directives or job instructions.
    b. Job descriptions and specifications c)
    c. Manual of procedures
2. **UPWARD COMMUNICATION** - flows from employees to executives, providing insight into problems, trends, opportunities, grievances, and performance—thus allowing executives to solve problems and make intelligent decisions.
    a. Survey questionnaire on employee job satisfaction
    b. Participative techniques and employee suggestions
    c. Formal complaints and grievances

3. **HORIZONTAL COMMUNICATION** - flows between departments to help employees share information, coordinate tasks, and solve complex problems.
    a. Sharing information of managers in horizontal structure
    b. Group discussions
    c. Committee Meetings

TYPES OF INFORMAL COMMUNICATION

1. **SINGLE STRAND STRAIN** - information passes from one person to another in a single sequence.
2. **GOSSIP CHAIN** - people communicate informally with each other in groups. One person may convey gossip or fact to people that cluster around him. This communication may be used for non-job-oriented work.
3. **PROBABILTY CHAIN** - Each employee tells another person the same message randomly. He does not adhere to specific rules and might share this information with anyone in the company irrespective of the fact that he is his friend or simply a casual acquaintance.
4. **CLUSTER CHAIN** - a form of communication where one person may share the news with a specific group of person and these, in turn, will either keep the news to themselves or share it with their selected group.

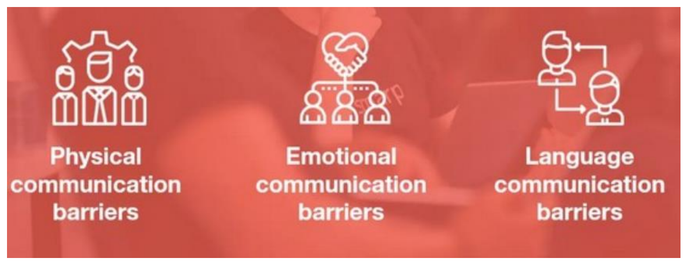
COMMUNICATION MEDIA

- Informal talks (most common)
- Telephone calls and texting
- Memoranda
- Letters
- Reports
- Meetings and conferences
- Bulletin board displays
- Visual aids and advertisements
- Virtual Meetings
- Social Media Platforms

WAYS OF IMPROVING COMMUNICATION

- Develop a corporate attitude of openness.
- Develop an objective suggestion system.
- Provide effective counselling and grievance procedures
- Participate in office informal social gatherings.
- Analyse grapevine information and make corrective actions
- Conduct attitude surveys
- Conduct exit interview and find out problems.

Types of Communication Barriers



BARRIERS OF COMMUNICATION

- Distance
- Distortion
- Semantics
- Level of Knowledge
- Lack of Responsibility & Inaccessibility
- Failure to Listen and Personal Differences
- Communication Gap
- Failure to use proper media

LESSON 10 EMPLOYEE MOTIVATION

What is Motivation?

- derived from the Latin word ***movere***, meaning “to move.”
- defined as the forces acting on or within a person that cause the arousal, direction,

and persistence of goal directed, voluntary effort.

Employee Motivation

- driving force that propels employees towards achieving their goals, which in turn contributes to the organization's overall success.

Benefits of Employee Motivation

- **Improved employee engagement**: Motivated employees are more involved and contribute to a positive work environment.
- **Boosted innovation**: Engaged workers are more likely to suggest creative and profitable ideas.
- **Increased loyalty**: Motivated staff are less likely to leave, reducing turnover.
- **Higher productivity**: Motivated employees get more done efficiently, adding company value.
- **Elevated employee morale**: Meaningful work and involvement raise employee morale
- **Enhanced job satisfaction**: Motivation leads to happier, more satisfied employees.
- **Strong work ethic**: Motivated workers show discipline, commitment, and are easier to manage.

Two Main Types of Employee Motivation

1. **Intrinsic Motivation** - means that an individual is motivated from within. He/she has the desire to perform well at the workplace because the results are in accordance with his/her belief system.

2. **Extrinsic Motivation** - means an individual's motivation is stimulated by external factors- rewards and recognition. Some people may never be motivated internally and only external motivation would work with them to get the tasks done.

FACTORS THAT IMPACT EMPLOYEE MOTIVATION

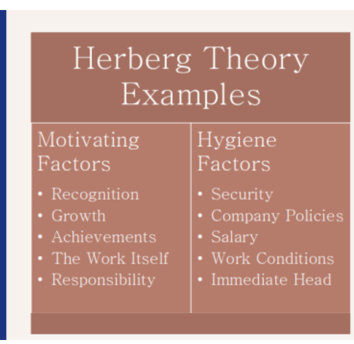
- **Work Environment** – A clean, safe, and organized workspace boosts motivation; poor conditions reduce it.
- **Recognition and Rewards** – Feeling appreciated through praise, bonuses, or promotions increases motivation.
- **Opportunities for Growth** – Career development and learning opportunities keep employees motivated.
- **Workload and Stress** – A balanced workload supports motivation; too much or too little can cause stress or boredom.
- **Communication** – Open, respectful communication makes employees feel heard and motivated.
- **Leadership** – Supportive and inspiring leaders encourage employee motivation and performance.

WAYS TO MOTIVATE EMPLOYEES

- **Incentives and Bonuses** – Rewards like money, time off, or recognition help employees reach goals.
- **Positive Work Environment** – Teamwork and communication foster a motivating, supportive atmosphere.
- **Growth Opportunities** – Mentorship, training, and career paths boost motivation through development.
- **Autonomy** – Letting employees join in decision-making builds ownership and engagement.
- **Personalized Motivation** – Understanding individual drivers allows tailored, more effective motivation.

EMPLOYEE MOTIVATIONS THEORIES

Maslow's Hierarchy of Needs
Proposed by Abraham Maslow in 1943. This theory states that individuals are motivated by fulfilling five basic needs.



Herzberg's Employee Motivation Theory
Also known as two-factor theory, says there are two factors to which an organization can adjust to influence the levels of motivation at the workplace.

Motivating Factors – These drive employees to work harder and include elements like achievement, recognition, and growth opportunities.
Hygiene Factors – These prevent dissatisfaction; their absence can demotivate. They include salary, work conditions, and company policies.

Four Statistics Involve in Herzberg Theory
1. High hygiene & high motivation
2. High hygiene & low motivation
3. Low hygiene and high motivation
4. Low hygiene & low motivation

Expectancy Theory - developed by Victor Vroom, suggests that people are motivated when they believe that putting in more effort will lead to better results, as long as they value those results.

Self-Determination Theory - proposed by Edward Deci and Richard Ryan, says that people are motivated when they feel they have control over their work (autonomy), believe in their abilities (competence), and feel connected to others (relatedness). When these needs are fulfilled, people are more motivated and engaged in their work.

LESSON 11 MANAGERIAL EFFECTIVENESS
The Manager's functions are divided in 3 related groupings:

1. **INTERPERSONAL FUNCTION -** Involves building and maintaining relationships with people inside and outside the organization.

CLASSIFIED AS:
   a) The Manager is a <u>symbolic figure head</u> – Role model; represents the company.
   b) The Manager is performing a <u>liaison function</u> – Middle Person/Bridge between company and customers/outsiders.
   c) The Manager is a <u>supervisor</u>. - Oversee and guides subordinates.

2. **INFORMATIONAL FUNCTION -** Channels information in and out of his unit.

UNDER THIS ARE:

a) The Manager is a monitor of information. - Gathers and checks info.
b) The Manager is a disseminator of information. - Shares info with the team.
c) The Manager is a spokesman. - Speaks for the organization.

3. **DECISION-MAKING FUNCTION -** Makes the intricate job of making decisions affecting his units.

   UNDER THIS ARE:

   a) The Manager is an innovator. – Marketing; handles product ideas.
   b) The Manager is a disturbance handler. - Solves problems and manages crises.
   c) The Manager is a resource allocator. - Distributes time, money, and people.
   d) The Manager is a negotiator. - Sales/marketing; makes deals and agreements.

THE CHALLENGES OF MODERN MANAGER

1. **TECHNICAL COMPETENCIES**
2. **BEHAVIORAL COMPETENCIES**
3. **STRATEGIC COMPETENCIES**

The inter-relationships of the three requirements for effective management:

TECHNICAL	BEHAVIORAL	STRATEGIC
Planning	Motivational	Manage Strategic Adaptation
Organizing	Effective Leadership	Manage Organizationally
Directing	Manage work groups	Pro-active response to change
Controlling	Effective communication	Receptiveness to social issues
	Manage conflict and power Human Resource Focus	International focus Government Relations

BIG FIVE MANAGERIAL TRAITS:

1. **Extraversion** – Outgoing, energetic, and enjoys working with people.
2. **Negative Affectivity** – Tendency to feel stressed, moody, or negative.
3. **Agreeableness** – Kind, cooperative, and gets along well with others.
4. **Conscientiousness** – Organized, responsible, and goal-oriented.
5. **Openness to Experience** – Creative, curious, and open to new ideas.

OTHER PERSONALITY TRAITS THAT AFFECT MANAGERIAL BEHAVIOR:

1. **Locus of Control** – Belief about control over life events (internal = takes responsibility, external = blames outside forces).
2. **Self-Esteem** – Confidence in one's own abilities.
3. **Need for Achievement, Affiliation, and Power** – *Achievement* – Desire to excel and meet goals, *Affiliation* – Desire to build relationships, *Power* – Desire to influence and lead others

LESSON 12 MANAGERIAL LEADERSHIP

WHAT IS LEADERSHIP?

According to **Gary Yukl**, *leadership is the **process of influencing others** to understand and **agree on what needs to be done and how to do it**, and facilitating individual and **collective efforts** to achieve shared goals.*

CHARACTERISTICS OF LEADERSHIP

- Leadership is an interpersonal process. - Influences and guides workers toward goals.
- Leadership requires essential personal qualities. - Requires traits like intelligence, maturity, and personality

- Leadership is a group-centered process. - Involves interaction between two or more people.
- Leadership influences group behavior. – Shapes group actions toward goals.
- Leadership is dependent on the situation. - Leadership style depends on the situation.

IMPORTANCE OF LEADERSHIP

1. **Initiates Action** – Starts work by communicating plans and policies.
2. **Motivation** – Encourages employees using rewards and recognition.
3. **Guidance** – Instructs subordinates on how to work effectively.
4. **Confidence Building** – Explains roles clearly and listens to concerns.
5. **Morale Building** – Gains trust and cooperation to boost performance.
6. **Work Environment** – Maintains good human relations and stable growth.
7. **Coordination** – Aligns personal and organizational goals.

Micromanage – Focuses on small details; you closely monitor especially when staff are new.
Macromanage – Gives trust and independence; lets the team handle tasks on their own.

QUALITIES

- **Physical Appearance** – Pleasing, healthy, and fit.
- **Vision and Foresight** – Plans ahead with clear goals.
- **Intelligence** – Analyzes problems and makes sound decisions.
- **Communication Skills** – Clear and effective in sharing ideas.
- **Objectivity** – Fair, unbiased, and fact-based in judgment.
- **Work Knowledge** – Understands subordinates' tasks well.
- **Responsibility** – Accountable and goal-driven.
- **Self-Confidence & Willpower** – Trusts himself and stays strong under pressure.
- **Humanist** – Treats others with care and respect.
- **Empathy** – Understands and relates to others' feelings and needs.

DIRECTIVE/PERMISSIVE LEADERSHIP STYLES

DIRECTIVE AUTOCRAT: Exercises strong control over decision-making and gives explicit instructions. Makes decisions independently with little to no input from others.
DIRECTIVE DEMOCRAT: Provides clear instructions and guidance while involving subordinates in decision-making. Maintains overall control but values team input.

PERMISSIVE AUTOCRAT: Makes decisions independently but gives more freedom and autonomy to subordinates than traditional autocrats. Less strict in control.
PERMISSIVE DEMOCRAT: Grants subordinates considerable freedom and independence, while involving them in decision-making. Emphasizes collaboration with a hands-off approach.

Directive / Permissive – Focuses on **how the leader treats people**
Autocrat / Democrat – Focuses on **how the leader makes decisions**

- **Directive** = Leader gives instructions
- **Permissive** = Leader allows freedom
- **Autocrat** = Leader decides alone
- **Democrat** = Leader involves others

Leader – Involved in the work, thinks outside the box, takes a different approach, and engages directly in the process.

Manager – Detached from the work, focuses on overall control and decision-making, holds responsibility for results.

- Managers organize work; leaders set vision and inspire action.
- Management focuses on planning and control; leadership focuses on people and motivation.
- Leaders earn trust from followers; managers hold formal authority.
- Managers follow policies; leaders rely on intuition. Management is science; leadership is art.
- Managers handle systems and tasks; leaders engage with people.
- Managers assess performance; leaders recognize hidden potential.
- Managers respond to issues; leaders take proactive steps.
- Managers prefer written communication; leaders use personal interaction.

THE THREE DETERMINANTS OF MANAGERIAL LEADERSHIP

1. THE MANAGERIAL ORIENTATION

- Task-oriented: Prioritize achieving goals and efficiency in operations.
- People-oriented: Focus on building relationships and supporting employees.
- Results-oriented: Prioritize achieving measurable outcomes and organizational success.
- Customer-oriented: Prioritize meeting customer needs and building strong customer relationships.
- Innovation-oriented: Prioritize creativity, problem-solving, and driving innovation.

2. THE BEHAVIORAL PATTERNS OF SUBORDINATES

Theory X	Theory Y
People by nature: ▪ dislike work; they are lazy, and try to avoid it as much as possible ▪ need to be controlled and motivated by others, using rewards and punishments ▪ dislike responsibility ▪ dislike achievement ▪ cannot be trusted ▪ never change ▪ are gullible and easily manipulated ▪ are self-centred and do not care about organisational goals	People by nature: ▪ like work and will seek it out ▪ like responsibility ▪ like achievement ▪ can be trusted ▪ can change ▪ are perceptive and not easily manipulated ▪ want their organisation to succeed

- Theory X – more negative; Theory Y – positive traits.

3. THE WORK ENVIRONMENT

- Refers to the overall conditions where the manager operates. This includes how jobs are organized, use of technology in producing goods, and how much top management influences decision-making.

LESSON 13 DECISION MAKING

WHAT IS DECISION- MAKING?

Haynes and Massie: Decision-making is a process of selection from a set of alternative courses of action to fulfill the objective of the decision problem more satisfactorily than others.

Koontz and O'Donnell: Decision-making is the actual selection from among alternatives of a course of action.

NATURE OF DECISION-MAKING

1. Decision-making and problem-solving are used interchangeably in management.
2. Managers solve problems and make decisions that affect the organization.
3. Effectiveness of manager's decision is measured on logical utilization of human and material resources.
4. More complex and uncertain issues require systematic and rational decision-making techniques.

CHARACTERISTICS OF MANAGERIAL DECISIONS

1. **Lack of Structure** – Common in managerial work; no clear procedure to follow, leaving the manager uncertain on how to proceed.
2. **Uncertainty** – Data is often lacking; the manager must gather enough to make a logical analysis and solution.
3. **Risk** – Refers to possible consequences; failure may result in wasted time, money, and effort.
4. **Conflict** – Arises from opposing pressures within or outside the organization; manager must handle with caution.
5. **Personal Bias** – Happens when conflict is settled based on personal interest of involved parties.

TWO TYPES OF MANAGERIAL DECISIONS:

1. **STRUCTURED OR PROGRAMMED DECISIONS:**
   a. Problems are well defined and understood
   b. Highly Structured
   c. Routine and repetitive
   d. Solutions can be through policy guidelines and rules
   e. Can be solved through numerical analysis and computations
2. **NON-STRUCTURED OR NON-PROGRAM DECISIONS**
   a. The problem is unique in character
   b. It is new in the organization
   c. Novel and no proven answer
   d. Variety of possible solutions
   e. Decisions heavily rest on managerial capability

THE EXECUTIVE MANAGER'S ROLE IN DECISION MAKING:

a. **Disturbance Handler** – Resolves problems not covered by programmed decisions (e.g., new competing product affecting price and quality).
b. **Entrepreneur** – Involves creative processes in exploring new business fields or markets; aims to increase market niche and product reach.
c. **Negotiator** – Uses data analysis to defend viewpoints with suppliers or stakeholders; must understand and manage opposing views.
d. **Resource Allocator** – Finds new funding sources or decides on in-house production vs. new suppliers for ongoing operations.

MANAGERIAL STYLES:

1. **Problem Avoider-Smoother** – Maintains the status quo and avoids change. Prefers to smooth over conflicts and avoids

problems that require time and effort to study.

2. **Problem Solver** – Common type; solves problems as they arise. Open to change, looks for improvements, and makes things happen.
3. **Problem Seeker** – Actively looks for problems before they grow. Uses creative planning and forecasting; believes innovation and proactivity are key to success.

STAGES IN RATIONAL DECISION-MAKING:

1) Identifying and diagnosing the problem.
2) Analyze the decision environment.
3) Articulate and develop hypothesis.
4) Develop Alternatives
5) Evaluating Alternatives:
    a. Sufficiency of data
    b. Feasibility
    c. Realism
6) Make the decision which alternative is feasible.
7) Implementing the decision.
8) Evaluating the decision.

FACTORS THAT INFLUENCE DECISION-MAKING PROCESS

1. **Certainty** – The manager knows the chosen alternative will give the expected outcome.
2. **Risk** – The manager determines probabilities and adds intuition in decision-making.
3. **Uncertainty** – Probabilities are unknown or hard to estimate.

EFFECTIVENESS IN DECISION-MAKING:

1. **Use Information Effectively** – Avoid overload; analyze sensible data and limit alternatives to the most relevant three.
2. **Enhance System for Decision-Making** – Create work systems and objectives that improve productivity; seek innovative methods over old routines.
3. **Strive for Acceptance** – Involve members in decision-making to gain commitment and better performance through participative management.
4. **Communicate Effectively** – Ensure decisions are communicated both upward and downward for full awareness and acceptance.
5. **Delegate Pragmatically** – Assign decision tasks to capable, experienced individuals with authority and knowledge.
6. **Build on Strength** – Rely on the culture, education, and resources of the team to support strong and effective decisions.

LESSON 14 CONFLICT & STRESS MANAGEMENT

WHAT IS CONFLICT?

is a state of individual or group disagreement due to incompatibility of goals and interdependence of activity. It is a clash between individuals caused by differences in thought process, attitudes, interests, or perceptions.

TYPES OF ORGANIZATIONAL CONFLICT

1. **Relationship Conflict** – Arises from interpersonal tension; differences in personality, style, taste, or thinking.
2. **Task Conflict** – Occurs when members disagree on the nature of work to be done.
3. **Process Conflict** – Happens when members clash on how the work should be completed.

DETERMINANTS OF ORGANIZATIONAL CONFLICT

1. **Task Interdependence** – division of labor creates task interdependence among

organizational units; includes:

a) *Pooled* – Simplest form; output is the combined effort of the same unit.

b) *Sequential* – Work follows a set sequence; one task depends on the completion of the previous.

c) *Reciprocal* – Tasks flow back and forth among units; each relies on the other's input and feedback.

2. **Status Inconsistencies** – The organizational structure divided the units into separate tasks based on their duties and responsibilities
3. **Jurisdictional Ambiguities** – Functional units may have unclear boundaries in responsibilities.
4. **Communication Obstacles** – Barriers lead to misinterpretation of goals and actions.
5. **Dependence on Common Resources** – Conflict arises when resources are limited and shared.
6. **Differences in Performance and Reward System** – Unequal treatment causes tension between units.
7. **Difference in Unit Orientation & Structure** – Different cultures or personal orientations lead to conflict.
8. **Skills and Traits of Key Personnel** – Differences in self-perception of ability affect performance and teamwork.

CONFLICT APPROACHES

1. Conflict in Organizational Structure

This approach deals with conflicts that arise due to the way an organization is designed or structured.

- Sometimes, departments have overlapping functions or unclear boundaries, which can lead to tension.
- Solution: **Restructure** or **merge departments** to clarify roles and reporting lines.

2. Bargaining Approach

This approach involves **open discussion and compromise** to resolve disagreements, especially when dealing with limited resources or personal conflicts.

- Managers should **negotiate**, not ignore issues.
- Emphasizes **communication, diplomacy, and fact-based decisions**.
- Encourages **problem-solving** over personal attacks.

3. System Approach to Conflict

This approach focuses on the **interaction between departments**, both **laterally** (same level) and **horizontally** (across functions).

- Conflicts can arise from different goals, roles, or even perceptions.
- Solution: Use **cross-department meetings**, **goal setting**, and assign an **arbitrator** (usually a higher executive) to mediate.
- If conflict remains unresolved, **transfer** or **termination** may be considered.

STRESS MANAGEMENT

Organizational Stress – Happens when an individual must handle **demands, responsibilities, or objectives** beyond their **abilities or job requirements**.

ORGANIZATIONAL STRESSORS:

- Role Prescription and Expectation
- Decision-Making Responsibilities
- Physical Environment
- Task Overload
- Role Ambiguity
- Career Restriction and Immobility
- Leadership Styles

PERSONAL STRESSORS:

- Personal Role Conflict
- Personal Injury or Illness
- Death of Family Member
- Marriage & Separation
- Family Problem
- Financial Problem
- Sexual Difficulties

HOW TO IMPROVE STRESS MANAGEMENT IN THE WORKPLACE

- **Task Redesign** – Adjust job roles to reduce overload
- **Environmental Change** – Improve workplace conditions
- **Physical Characteristics of Work** – Modify workspace for comfort
- **Career Development** – Offer growth opportunities
- **Physical Fitness Program** – Promote health and wellness
- **Team Building** – Strengthen collaboration
- **Social Support** – Encourage supportive relationships

INDIVIDUAL STRESS MANAGEMENT

- **Maintain Proper Diet**
- **Exercise Properly**
- **Set Realistic Work Deadlines**
- **Don't Let Problems Fester** – Address them early
- **Relax and Decompress** – Take time to recharge

LESSON 15 BUSINESS ETHICS

WHAT IS BUSINESS ETHICS?

refers to the **set of moral principles** that guide a company's conduct. It governs interactions with **government, businesses, employees, and customers**.

FACTORS INFLUENCING ETHICAL BEHAVIOR

- **Situation** – Reactions vary depending on circumstances; a firm may act ethically in good times but not during financial hardships.
- **Reward System** – High rewards may encourage unethical acts, but the risk of punishment reduces motivation.
- **Individual Difference** – People react differently to situations due to personal values and traits.

SOURCES OF BUSINESS ETHICS

1. Religion

Oldest source of ethical guidance.

- All religions promote the **principle of reciprocity** and stress **social responsibility**.
- Each has a **code of conduct** defining right and wrong in business and life.

2. Culture

Shared values, morals, and norms passed across generations.

- Influences how people **prioritize organizational goals** over personal interests.
- Shapes behavior and attitudes in a business setting.
- Managers operate within diverse cultural expectations, adding **ethical complexity**.

3. Law

Legal systems define **mandatory ethical standards**.

- Businesses are expected to **follow laws**, but violations like **tax evasion, hoarding, adulteration**, and **pollution** are common.
- Law reflects society's baseline expectations for business behavior.

IMPORTANCE OF BUSINESS ETHICS

1. **Corresponds to Basic Human Needs**
   People want to work in and be proud of ethical, respected organizations.
2. **Credibility in the Public**
   Ethical companies earn public trust, leading to better product sales and successful public offerings.
3. **Credibility with Employees**
   Employees respect ethical companies, which builds shared goals and trust in leadership.
4. **Better Decision Making**
   Ethics guides decisions by considering economic, social, and moral factors for long-term benefit.
5. **Profitability**
   Ethical companies may lose in the short term but succeed and profit more in the long run.
6. **Protection of Society**
   Ethics go beyond laws—ethical leaders can resolve internal conflicts more effectively than regulation alone.

WAYS TO ENCOURAGE ETHICAL BEHAVIOR AMONG EMPLOYEES

- **Code of Ethics** – A formal document outlining accepted principles and conduct.
- **Rewards and Sanctions** – Recognize ethical behavior and penalize unethical actions.
- **Conflict Resolution Programs** – Internal systems to handle ethical dilemmas.
- **Ethics Review Committees** – Groups that evaluate and guide ethical decisions.
- **Ethics Training** – Programs to teach employees proper conduct and decision-making.
- **Top Management Support** – Leadership must model and enforce ethical behavior.

WHAT IS CORPORATE SOCIAL RESPONSIBILITY (CSR)?

According to **Howard Bowen**, CSR is the **obligation of businessmen** to pursue actions that align with the **values and goals of society**.

CATEGORIES OF CSR

1. **Environmental Responsibility** – Reduce pollution, emissions, and use natural resources sustainably.
2. **Human Rights Responsibility** – Fair labor, fair trade, and rejection of child labor.
3. **Philanthropic Responsibility** – Support education, health, charity, and community projects.
4. **Economic Responsibility** – Improve business operations while being sustainable (e.g., reducing waste).

BENEFITS OF CORPORATE SOCIAL RESPONSIBILITY (CSR)

1. **Stronger Brand & Reputation** – Builds trust and adds value through a positive corporate image.
2. **Increased Customer Loyalty & Sales** – Customers support companies with ethical and social causes.
3. **Operational Cost Savings** – Efficient operations lower costs and environmental impact.
4. **Employee Retention** – Talented staff stay longer when aligned with company values.
5. **Easier Access to Funding** – Investors prefer responsible and sustainable businesses.
6. **Reduced Regulatory Burden** – Good ties with regulators ease compliance requirements.